

Emirates Integrated Telecommunications Company PJSC (DFM: DU) — Bibliography and Source Register

Companion document to the valuation study dated 9 August 2026. It records where every number in that study came from.

READ FIRST

This document exists so that a reader can check the study rather than trust it. It lists every input the valuation model uses, together with the value, the source, the date of that source, and the research layer it belongs to. Nothing in the study is computed from a figure that does not appear here.

Two things are worth knowing before reading the tables. First, inputs marked "House" are judgements or derivations made by the analyst, not disclosures by the company — each carries the reasoning that produced it, and the reader is free to disagree with it and re-run the model. Second, where a disclosure could not be reached, that is recorded as a negative result at the end of this document rather than quietly filled in.

The research layers

Layer	What it covers
Company	the company's own audited/reviewed statements, filings, releases and investor presentations — the only permitted source for its reported historicals
Industry	peers, the regulator, sector pricing and multiples
Country	UAE macro, rates, the sovereign, the fiscal regime
Market	exchange data: prices, the index, the beta regression
House	analyst judgements and constructions, each with its reasoning

Primary documents relied upon

Document	What it provided	Date	Where read
Integrated Annual Report 2025 (audited consolidated FS; KPMG Lower Gulf, unmodified opinion)	FY2025 and re-presented FY2024: every income-statement, balance-sheet, cash-flow and segment line; notes 4-39 incl. borrowings (none), leases, tax/royalty, segments	09-Feb-2026	investors.du.ae
Annual Report 2024 (audited; PwC, unqualified)	FY2024 original presentation and FY2023 comparatives; the FY2023 royalty-accrual disclosure that makes the working-capital series like-for-like	10-Feb-2025	investors.du.ae
Annual Report 2023 (audited; PwC, unqualified)	FY2023 and complete FY2022 comparatives; the pre-2024 royalty construction (Note 27) that defines Framing B	13-Feb-2024	investors.du.ae
H1-2026 condensed consolidated interim FS (KPMG ISRE 2410 review)	H1/Q2-2026 actuals; the 30-Jun-2026 balance sheet; the licence-term note; the royalty-regime note; dividend record	22-Jul-2026	investors.du.ae
Q1-2026 condensed consolidated interim FS (KPMG review)	Q1-2026 actuals	22-Apr-2026	investors.du.ae
Q2-2026 earnings release + analyst presentation	subscribers, ARPU, capex intensity, revised FY2026 guidance, interim dividend	23-Jul-2026	investors.du.ae
Q4/FY2025 results presentation	FY2025 KPIs, subscriber base, original FY2026	10-Feb-2026	investors.du.ae

	guidance, dividend and payout record		e
UAE MoF T-bond auction results; Emirates Islamic AED yield sheet	the AED risk-free anchor and curve context	Jul/Aug-2026	public market data
Damodaran country risk dataset (ctryprem)	UAE rating-based default spread and equity risk premium; the live implied US premium	05-Jan-2026 / 01-Aug-2026	pages.stern.nyu.edu/~adamodar
DFM official index API + cross-validated Yahoo history	the DFM General Index series behind the beta regression (identical closes on all 307 overlapping sessions)	2021-2026	api2.dfm.ae / finance.yahoo.com
stc USD sukuk curve quotes	the GCC telecom credit spread behind the marginal cost of debt	06-Aug-2026	public market data
Mobily FY2025 and H1-2026 results announcements (Saudi Exchange issuer filings) and FY2025 earnings release	the justified price/earnings multiple and the peer dividend-yield anchor, both re-derived from filed earnings after the first edition used a stale aggregator figure: trailing EPS SAR 4.76 = FY2025 4.51 + H1-2026 2.32 - H1-2025 2.07, giving 12.9x on the 06-Aug-2026 close of SAR 61.30 (the market-cap route ties independently)	06-Aug-2026	saudiexchange.sa / mobily.com.sa
e& FY2025, H1-2025 and H1-2026 results releases	the second filing-derived peer multiple: trailing EPS AED 1.33 reported-attributable, 15.7x on the 06-Aug-2026 close of AED 20.98. NOTE the basis trap: e&'s own H1-2026 release quotes the H1-2025 comparative on an ADJUSTED basis, which if used fabricates a 12.6x	06-Aug-2026	eand.com
du dividend-distribution disclosure to DFM, Ref RME/14/2026	the interim dividend timetable that determines which dividends are still in the anchor price: ex-date 31-Jul-2026, record 03-Aug-2026, payment 21-Aug-2026	2026-07-31	du filing via DFM
du disclosure announcement, "Extension of Federal Royalty Scheme for the Period 2027-2029"	the settled 2027-2029 fiscal regime, including the express retention of the AED 1.8bn combined annual floor	2026-07-24	du company disclosure
IMF World Economic Outlook (Apr-2026) and July-2026 Update	UAE and regional growth/inflation; the war's macro baseline	Apr/Jul-2026	imf.org

The full input register

Market layer — 2 inputs

Input	Value	Source and construction	Date
spot	12.3	Uploaded DFM daily price history for DU, last close 07-Aug-2026	2026-08-07
beta	0.488	Own-stock regression vs the FTSE ADX GENERAL INDEX, adopted per explicit user instruction (10-Aug-2026) as the UAE base market index: DU weekly log-returns, 5-year window, last-common-session weekly sampling on the user-supplied index export (2011..24-Jul-2026): beta 0.488, R2 0.120, n 256, SE 0.083, CI90 [0.35, 0.62] - passes the usability gate (n>=24, R2>=5%, SE< beta). Published alternatives: DFM General (DU's own listing venue, the house default) 0.472 (R2 0.202, SE 0.058); equal-weight AE-library composite 0.400. A defensive, negative-net-debt telecom regressing below 0.5 on either UAE index is economically coherent; betas at the CI ends and 0.65/0.80 priors are PRICED in the sensitivity grid	2026-08-10

Company layer — 143 inputs

Input	Value	Source and construction	Date
shares_mn	4,532.9	Share capital note 27, audited FY2025 consolidated FS: 4,532,905,989 shares of AED 1 each, authorised, issued and fully paid, unchanged across FY2023-FY2025 and both 2026 interims	2026-02-09
div_between	0.66	Dividends whose EX-DATE falls between the 31-Dec-2025 valuation date and the	2026-07-31

		07-Aug-2026 anchor, and which are therefore no longer in the share price: the final FY2025 AED 0.40 (AGM 30-Mar-2026, paid 28-Apr-2026) PLUS the H1-2026 interim AED 0.26 — Board-approved 22-Jul-2026, EX-DATE 31-JULY-2026, record 03-Aug-2026, paid 21-Aug-2026, per du's own dividend disclosure to DFM (Ref RME/14/2026). CORRECTED 17-Aug-2026: the prior edition carried only 0.40, on the reasoning that the interim was declared but unpaid at the anchor so it 'stays in the share'. That applied the PAYMENT date; the correct test is the EX-date, which had passed six trading sessions before the anchor. The anchor spot of AED 12.30 is ex the 0.26, so every lens rolled to that anchor must be ex it too	
rev_fy23	13,636.3	Audited consolidated FS, Annual Report 2023, investors.du.ae (PwC, unqualified opinion 13-Feb-2024), consolidated statement of comprehensive income	2024-02-13
rev_fy24	14,635.9	Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026), FY2024 comparative (IFRS 18 re-presented, Note 39)	2026-02-09
rev_fy25	15,905.4	Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026)	2026-02-09
ebitda_fy25	7,338.4	Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026): 'Operating profit before depreciation and amortization' printed on the face of the statement	2026-02-09
ebitda_fy24	6,469.8	Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026), FY2024 comparative on the face (IFRS 18)	2026-02-09
ebitda_fy23	5,799.6	DERIVED (flagged): FY2023 statements print no EBITDA line (pre-IFRS 18). Operating profit pre-royalty (rev - opex - ECL + other income = 3,601.324) + D&A 2,198.277, every component audited (Audited consolidated FS, Annual Report 2023, investors.du.ae (PwC, unqualified opinion 13-Feb-2024))	2024-02-13
dna_fy23	2,198.3	Audited consolidated FS, Annual Report 2023, investors.du.ae (PwC, unqualified opinion 13-Feb-2024), Note 26 opex split: PP&E depreciation 1,544.182 + right-of-use depreciation 445.042 + intangibles amortisation 209.053	2024-02-13
dna_fy24	2,153.6	Audited consolidated FS, Annual Report 2024, investors.du.ae (PwC, unqualified opinion 10-Feb-2025), Note 31 split: PP&E 1,569.189 + ROU 374.505 + intangibles 209.896	2025-02-10
dna_fy25	2,167.9	Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026), Note 31 split: PP&E 1,557.989 + ROU 364.063 + intangibles 245.881	2026-02-09
op_fy25	5,170.5	Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026), operating profit on the face	2026-02-09
op_fy24	4,316.2	Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026), FY2024 comparative	2026-02-09
int_inc_fy25	74.672	Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026), interest income (Note 32)	2026-02-09
int_inc_fy24	82.214	Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026), FY2024 comparative	2026-02-09
int_exp_fy25	95.054	Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026), interest expense (Note 32; principally lease interest 71.094)	2026-02-09
int_exp_fy24	89.77	Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026), FY2024 comparative	2026-02-09
assoc_fy25	-0.894	Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026), share of loss on equity-accounted investments	2026-02-09
pbt_fy25	5,149.1	Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026), profit before federal royalty and income tax	2026-02-09
pbt_fy24	4,306.2	Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026), FY2024 comparative	2026-02-09
pbt_fy23	3,558.5	DERIVED (flagged): profit 1,667.851 + total federal royalty 1,890.650 (revenue leg 1,400.199 + profit leg 490.451, Note 27, Audited consolidated FS, Annual Report 2023, investors.du.ae (PwC, unqualified opinion 13-Feb-2024)) — the pre-royalty profit the FY2023 statement layout never prints as one line	2024-02-13
royalty_fy25	1,956.6	Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026), federal royalty on the face	2026-02-09

royalty_fy24	1,571.6	Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026), FY2024 comparative (IFRS 18)	2026-02-09
royalty_fy23	1,890.7	Audited consolidated FS, Annual Report 2023, investors.du.ae (PwC, unqualified opinion 13-Feb-2024), Note 27: royalty on regulated revenue 1,400.199 + royalty on regulated profit 490.451	2024-02-13
tax_fy25	287.4	Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026), income tax expense on the face	2026-02-09
tax_fy24	247.0	Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026), FY2024 comparative	2026-02-09
np_fy23	1,667.9	Audited consolidated FS, Annual Report 2023, investors.du.ae (PwC, unqualified opinion 13-Feb-2024)	2024-02-13
np_fy24	2,487.5	Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026), FY2024 comparative	2026-02-09
np_fy25	2,905.1	Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026)	2026-02-09
eps_fy23	0.37	Audited consolidated FS, Annual Report 2023, investors.du.ae (PwC, unqualified opinion 13-Feb-2024), Note 29	2024-02-13
eps_fy24	0.55	Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026), Note 33 comparative	2026-02-09
eps_fy25	0.64	Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026), Note 33	2026-02-09
tax_eff	0.4357	Combined federal royalty + income tax charge / profit before both, audited FY2025: (1,956.602 + 287.435) / 5,149.122 = 43.57% (Note 26 states 43.6%; FY2024 44.7%). Regime: Cabinet decision 8/38 of 2023 — 38% federal royalty on total UAE regulated and non-regulated profits + 9% corporate income tax, combined floor AED 1.8bn/yr, legislated for 2024-2026	2026-02-09
reg_share	0.69	Regulated revenue share under the PRE-2024 regime, audited FY2023 Note 27: total regulated revenue 9,410.136 / total revenue 13,636.340 = 69.0% — the revenue base for Framing B of the contested judgement	2024-02-13
royB_rev_rate	0.15	Pre-2024 royalty construction, leg 1: 15% of regulated revenue (Audited consolidated FS, Annual Report 2023, investors.du.ae (PwC, unqualified opinion 13-Feb-2024), Note 27)	2024-02-13
royB_prof_rate	0.3	Pre-2024 royalty construction, leg 2: 30% of regulated profit after deducting the revenue-leg royalty (Audited consolidated FS, Annual Report 2023, investors.du.ae (PwC, unqualified opinion 13-Feb-2024), Note 27)	2024-02-13
ppe_fy23	9,722.7	Audited consolidated FS, Annual Report 2023, investors.du.ae (PwC, unqualified opinion 13-Feb-2024)	2024-02-13
ppe_fy24	9,838.4	Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026), FY2024 comparative	2026-02-09
ppe_fy25	10,288.8	Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026)	2026-02-09
rou_fy23	1,597.2	Audited consolidated FS, Annual Report 2023, investors.du.ae (PwC, unqualified opinion 13-Feb-2024)	2024-02-13
rou_fy24	1,657.2	Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026), FY2024 comparative	2026-02-09
rou_fy25	1,515.4	Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026)	2026-02-09
intang_fy23	1,110.8	Audited consolidated FS, Annual Report 2023, investors.du.ae (PwC, unqualified opinion 13-Feb-2024) ('Intangible assets and goodwill', one line pre-2024)	2024-02-13
intang_fy24	846.9	Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026), FY2024 comparative (intangibles excl. goodwill)	2026-02-09
intang_fy25	869.6	Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026) (software 297.272 + capital work in progress 571.459 + TDRA licence NBV 0.869, Note 8)	2026-02-09
goodwill_fy25	413.2	Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026), Note 9 (unchanged from FY2024)	2026-02-09
inv_fy23	101.7	Audited consolidated FS, Annual Report 2023, investors.du.ae (PwC, unqualified opinion 13-Feb-2024)	2024-02-13
inv_fy24	175.6	Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG	2026-02-09

		Lower Gulf, unmodified opinion 09-Feb-2026), FY2024 comparative	
inv_fy25	175.5	Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026)	2026-02-09
recv_fy23	2,224.0	Audited consolidated FS, Annual Report 2023, investors.du.ae (PwC, unqualified opinion 13-Feb-2024) ('Trade receivables, contract assets and other assets', current)	2024-02-13
recv_fy24	2,128.6	Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026), FY2024 comparative (trade receivables and contract assets, current)	2026-02-09
recv_fy25	2,222.5	Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026)	2026-02-09
ccost_fy23	341.9	Audited consolidated FS, Annual Report 2023, investors.du.ae (PwC, unqualified opinion 13-Feb-2024) (contract costs, current)	2024-02-13
ccost_fy24	361.6	Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026), FY2024 comparative	2026-02-09
ccost_fy25	442.4	Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026)	2026-02-09
relparty_a_fy23	53.449	Audited consolidated FS, Annual Report 2023, investors.du.ae (PwC, unqualified opinion 13-Feb-2024) (due from related parties)	2024-02-13
relparty_a_fy24	21.732	Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026), FY2024 comparative	2026-02-09
relparty_a_fy25	27.481	Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026)	2026-02-09
othca_fy23	0	Audited consolidated FS, Annual Report 2023, investors.du.ae (PwC, unqualified opinion 13-Feb-2024) — other non-financial assets are not a separate current line in the FY2023 layout (folded into trade receivables and other assets); carried at zero to avoid double-counting	2024-02-13
othca_fy24	324.3	Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026), FY2024 comparative (other non-financial assets, current)	2026-02-09
othca_fy25	416.8	Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026)	2026-02-09
cash_fy23	610.0	Audited consolidated FS, Annual Report 2023, investors.du.ae (PwC, unqualified opinion 13-Feb-2024) (cash and bank balances)	2024-02-13
cash_fy24	984.0	Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026), FY2024 comparative	2026-02-09
cash_fy25	465.7	Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026)	2026-02-09
deposits_fy23	1,326.6	Audited consolidated FS, Annual Report 2023, investors.du.ae (PwC, unqualified opinion 13-Feb-2024) (term deposits)	2024-02-13
deposits_fy24	1,299.3	Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026), FY2024 comparative	2026-02-09
deposits_fy25	1,784.0	Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026)	2026-02-09
assets_fy23	17,703.7	Audited consolidated FS, Annual Report 2023, investors.du.ae (PwC, unqualified opinion 13-Feb-2024)	2024-02-13
assets_fy24	18,693.3	Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026), FY2024 comparative	2026-02-09
assets_fy25	19,375.7	Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026)	2026-02-09
pay_fy23	5,247.3	Audited consolidated FS, Annual Report 2023, investors.du.ae (PwC, unqualified opinion 13-Feb-2024) (trade and other payables — INCLUDES the accrued federal royalty, which the FY2023 layout does not present separately)	2024-02-13
roy_accr_fy23	2,033.2	Audited consolidated FS, Annual Report 2024, investors.du.ae (PwC, unqualified opinion 10-Feb-2025), Note 23 accrued-royalty movement: balance at 1-Jan-2024 = 2,033.172 — the royalty accrual sitting INSIDE FY2023 trade payables, netted out for a like-for-like working-capital series	2025-02-10
pay_fy24	3,666.1	Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026), FY2024 comparative (trade and	2026-02-09

		other payables)	
pay_fy25	3,711.3	Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026)	2026-02-09
roytax_fy24	1,923.5	Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026), FY2024 comparative (federal royalty and income tax, current liability)	2026-02-09
roytax_fy25	2,283.4	Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026)	2026-02-09
cliab_fy23	465.7	Audited consolidated FS, Annual Report 2023, investors.du.ae (PwC, unqualified opinion 13-Feb-2024) (contract liabilities, current)	2024-02-13
cliab_fy24	559.2	Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026), FY2024 comparative	2026-02-09
cliab_fy25	629.7	Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026)	2026-02-09
relparty_l_fy23	6.064	Audited consolidated FS, Annual Report 2023, investors.du.ae (PwC, unqualified opinion 13-Feb-2024) (due to related parties)	2024-02-13
relparty_l_fy24	6.717	Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026), FY2024 comparative	2026-02-09
relparty_l_fy25	6.03	Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026)	2026-02-09
lease_fy23	2,105.0	Audited consolidated FS, Annual Report 2023, investors.du.ae (PwC, unqualified opinion 13-Feb-2024) (lease liabilities: current 649.585 + non-current 1,455.374)	2024-02-13
lease_fy24	1,998.7	Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026), FY2024 comparative (561.999 + 1,436.688)	2026-02-09
lease_fy25	1,938.8	Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026) (592.141 + 1,346.678)	2026-02-09
debt_fy25	0	Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026), Note 4.2 capital-risk table: Total borrowings '-' — ZERO drawn borrowings in every year studied (FY2022-FY2025 and both 2026 interims). The only facility is undrawn: AED 2.0bn 7-year unsecured RCF signed 06-Apr-2026	2026-02-09
eq_fy23	9,243.2	Audited consolidated FS, Annual Report 2023, investors.du.ae (PwC, unqualified opinion 13-Feb-2024)	2024-02-13
eq_fy24	9,878.4	Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026), FY2024 comparative	2026-02-09
eq_fy25	10,148.3	Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026)	2026-02-09
ocf_fy23	4,425.4	Audited consolidated FS, Annual Report 2023, investors.du.ae (PwC, unqualified opinion 13-Feb-2024), net cash generated from operating activities	2024-02-13
ocf_fy24	4,636.5	Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026), FY2024 comparative	2026-02-09
ocf_fy25	5,229.8	Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026)	2026-02-09
capex_ppe_fy23	1,899.9	Audited consolidated FS, Annual Report 2023, investors.du.ae (PwC, unqualified opinion 13-Feb-2024), purchase of property, plant and equipment	2024-02-13
capex_ppe_fy24	1,535.7	Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026), FY2024 comparative	2026-02-09
capex_ppe_fy25	2,038.5	Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026)	2026-02-09
capex_int_fy23	327.7	Audited consolidated FS, Annual Report 2023, investors.du.ae (PwC, unqualified opinion 13-Feb-2024), purchase of intangible assets	2024-02-13
capex_int_fy24	384.7	Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026), FY2024 comparative	2026-02-09
capex_int_fy25	314.7	Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026)	2026-02-09
div_paid_fy23	1,178.6	Audited consolidated FS, Annual Report 2023, investors.du.ae (PwC, unqualified opinion 13-Feb-2024), dividends paid	2024-02-13

div_paid_fy24	1,858.5	Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026), FY2024 comparative	2026-02-09
div_paid_fy25	2,629.1	Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026) (final-2024 AED 0.34 + interim-2025 AED 0.24)	2026-02-09
lease_paid_fy25	282.5	Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026), repayment of lease liabilities (financing)	2026-02-09
investees_bv	0.511	Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026), Note 10: investments accounted for using the equity method, carrying value AED 0.511mn at 31-Dec-2025 (FY2024: 2.716mn). REGISTERED 17-Aug-2026 — this figure was previously typed directly into the bridge, so it was an input with no four-field record and the completeness assertion passed over it	2026-02-09
direct_costs_hist	FY24: -4,818.4; FY25: -5,259.4	Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026), face of the income statement: interconnect + commission + devices and other direct services cost	2026-02-09
opex_before_dna_hist	FY24: -3,347.6; FY25: -3,307.6	Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026), total net operating expenses before depreciation and amortization	2026-02-09
int_inc_fy23	61.327	Audited consolidated FS, Annual Report 2023, investors.du.ae (PwC, unqualified opinion 13-Feb-2024), finance income	2024-02-13
int_exp_fy23	101.4	Audited consolidated FS, Annual Report 2023, investors.du.ae (PwC, unqualified opinion 13-Feb-2024), finance costs	2024-02-13
assoc_hist	FY23: -2.72; FY24: -2.427; FY25: -0.894	Share of loss of associate and joint venture: Audited consolidated FS, Annual Report 2023, investors.du.ae (PwC, unqualified opinion 13-Feb-2024) (FY2023); Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026) (FY2024 comparative and FY2025)	2026-02-09
dep_ppe_hist	FY23: 1,544.2; FY24: 1,569.2; FY25: 1,558.0	Depreciation and impairment of property, plant and equipment: Audited consolidated FS, Annual Report 2023, investors.du.ae (PwC, unqualified opinion 13-Feb-2024) Note 26 (FY2023); Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026) Note 31 (FY2024-25)	2026-02-09
amort_hist	FY23: 209.1; FY24: 209.9; FY25: 245.9	Amortisation and impairment of intangible assets, same notes as above	2026-02-09
capex_cash_hist	FY23: 2,227.6; FY24: 1,920.5; FY25: 2,353.2	Cash capital expenditure = purchase of PP&E + purchase of intangible assets, audited consolidated statements of cash flows (AR2023 for FY2023; AR2025 for the FY2024 comparative and FY2025)	2026-02-09
tax_paid_hist	FY24: -1,928.9; FY25: -1,883.4	Federal royalty paid + income tax paid, audited consolidated statements of cash flows (Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026))	2026-02-09
ocf_hist	FY24: 4,636.5; FY25: 5,229.8	Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026), net cash generated from operating activities	2026-02-09
div_paid_hist	FY24: -1,858.5; FY25: -2,629.1	Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026), dividends paid (financing activities)	2026-02-09
subs_mobile_hist_display	FY24: 8,916.0; FY25: 9,704.0	Company Q2-2026 earnings release + analyst presentation, investors.du.ae (COMPANY_IR) and the Q4/FY2025 deck: mobile customers at 31-Dec-2024 and 31-Dec-2025 ('000)	2026-02-10
subs_fixed_hist_display	FY24: 682.0; FY25: 735.0	Company Q2-2026 earnings release + analyst presentation, investors.du.ae (COMPANY_IR) and the Q4/FY2025 deck: fixed customers at 31-Dec-2024 and 31-Dec-2025 ('000)	2026-02-10
arpu_hist_display	FY24: 65.8; FY25: 63.3	Blended mobile ARPU (AED/month): Q4-2024 print 65.8 and the FY2025 average 63.3, both from the company's quarterly analyst decks	2026-02-10
lease_int_fy25	71.094	Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026), interest paid on lease liabilities	2026-02-09
dps_fy23	0.34	Audited consolidated FS, Annual Report 2023, investors.du.ae (PwC, unqualified opinion 13-Feb-2024)/AR24: interim 0.13 (paid 23-Aug-2023) + final 0.21 (paid 18-Apr-2024)	2024-04-18
dps_fy24	0.54	Audited consolidated FS, Annual Report 2024, investors.du.ae (PwC, unqualified opinion 10-Feb-2025)/AR25: interim 0.20 (paid 19-Aug-2024) + final 0.34 (paid	2025-04-15

		15-Apr-2025); IR: 98% payout	
dps_fy25	0.64	Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026): interim 0.24 (paid 21-Aug-2025) + final 0.40 (paid 28-Apr-2026); IR: ~100% payout, the highest dividend and payout in du history	2026-04-28
h1_26_rev	8,197.6	Reviewed condensed consolidated interim FS for the six months ended 30-Jun-2026, investors.du.ae (KPMG ISRE 2410 review, 22-Jul-2026)	2026-07-22
h1_25_rev	7,750.3	Reviewed condensed consolidated interim FS for the six months ended 30-Jun-2026, investors.du.ae (KPMG ISRE 2410 review, 22-Jul-2026), comparative	2026-07-22
h1_26_ebitda	4,031.9	Reviewed condensed consolidated interim FS for the six months ended 30-Jun-2026, investors.du.ae (KPMG ISRE 2410 review, 22-Jul-2026), operating profit before D&A on the face (margin 49.2%)	2026-07-22
h1_26_dna	1,133.2	Reviewed condensed consolidated interim FS for the six months ended 30-Jun-2026, investors.du.ae (KPMG ISRE 2410 review, 22-Jul-2026)	2026-07-22
h1_26_np	1,632.0	Reviewed condensed consolidated interim FS for the six months ended 30-Jun-2026, investors.du.ae (KPMG ISRE 2410 review, 22-Jul-2026)	2026-07-22
h1_25_np	1,449.3	Reviewed condensed consolidated interim FS for the six months ended 30-Jun-2026, investors.du.ae (KPMG ISRE 2410 review, 22-Jul-2026), comparative	2026-07-22
h1_25_ebitda	3,650.2	Reviewed condensed consolidated interim FS for the six months ended 30-Jun-2026, investors.du.ae (KPMG ISRE 2410 review, 22-Jul-2026), comparative	2026-07-22
h1_26_capex	1,038.0	Company Q2-2026 earnings release + analyst presentation, investors.du.ae (COMPANY_IR): cost additions to PP&E + intangibles, H1-2026 (capital intensity 12.7%)	2026-07-23
h2_25_rev	8,155.1	DERIVED (flagged): FY2025 revenue 15,905.421 – H1-2025 7,750.295, both audited/reviewed	2026-07-22
h2_25_ebitda	3,688.2	DERIVED (flagged): FY2025 EBITDA 7,338.388 – H1-2025 3,650.187	2026-07-22
dps_h1_26	0.26	Reviewed condensed consolidated interim FS for the six months ended 30-Jun-2026, investors.du.ae (KPMG ISRE 2410 review, 22-Jul-2026) + Q2 earnings release: interim AED 0.26/share approved by the Board 23-Jul-2026 (AED 1,178.556mn), +8.3% y/y	2026-07-23
seg_rev_hist	FY23: mobile: 7,004.1; fixed: 3,779.8; wholesale: 1,768.4; ict: 1,084.0; FY24: mobile: 6,548.1; fixed: 4,002.7; wholesale: 2,373.1; ict: 1,712.1; FY25: mobile: 7,074.9; fixed: 4,379.7; wholesale: 2,568.2; ict: 1,882.6	Segment notes: FY2023 Note 34 (Audited consolidated FS, Annual Report 2023, investors.du.ae (PwC, unqualified opinion 13-Feb-2024), old basis, 'Others' shown under ict); FY2024-FY2025 Note 38 (Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026), current basis, FY2024 re-presented)	2026-02-09
seg_contrib_hist	FY24: mobile: 3,985.6; fixed: 3,387.6; wholesale: 2,089.0; ict: 355.3; FY25: mobile: 4,303.6; fixed: 3,757.9; wholesale: 2,219.5; ict: 365.0	Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026), Note 38: segment contribution ('gross margin' = revenue less direct costs, before opex and D&A)	2026-02-09
subs_mobile	Q4_2024: 8,916; Q1_2025: 9,137; Q2_2025: 9,138; Q3_2025: 9,170; Q4_2025: 9,704; Q1_2026: 9,692; Q2_2026: 9,280	Company Q2-2026 earnings release + analyst presentation, investors.du.ae (COMPANY_IR) + prior quarterly decks: mobile customers ('000, TDRA 90-day active definition); Q2-2026 net adds –412k (prepaid –442k on the tourism shock, postpaid +30k)	2026-07-23
subs_fixed	Q4_2024: 682; Q1_2025: 701; Q2_2025: 706; Q3_2025: 718; Q4_2025: 735; Q1_2026: 745; Q2_2026: 744	Company Q2-2026 earnings release + analyst presentation, investors.du.ae (COMPANY_IR): fixed customers ('000)	2026-07-23

arpu_mobile	FY2025: 63.3; Q1_2026: 63.4; Q2_2026: 63.4	Company Q2-2026 earnings release + analyst presentation, investors.du.ae (COMPANY_IR): blended mobile ARPU, AED/month	2026-07-23
opex_base_fy25	network: 963.9; marketing: 292.3; staff: 1,105.3; admin: 189.7; licence: 434.0; other: 133.2; ecl: 211.0; other_inc: - 21.716	Audited consolidated FS, Integrated Annual Report 2025, investors.du.ae (KPMG Lower Gulf, unmodified opinion 09-Feb-2026), face of the income statement: net operating expenses before D&A by nature (licence = telecommunication licence and related fees, a revenue-linked regulatory charge; ecl = impairment of trade/lease receivables and contract assets net of recoveries)	2026-02-09
staff_fy26	1,035.2	FY2026E staff cost: H1-2026 reviewed actual 471.360 grossed up by the company's OWN disclosed H2/H1 seasonality of 1.1961 (H2-2025 602.018 / H1-2025 503.310, from the audited FY2025 and reviewed H1-2025 statements) = 471.360 + 563.80 = 1,035.16 — which is –6.35% on the audited FY2025 1,105.328, exactly the –6.35% y/y the company printed at the half. CORRECTED 17-Aug-2026: the prior 985.0 applied a ratio of 1.09 while its own note described it as 'the H2-2025 seasonal ratio'; the true ratio is 1.1961, so staff cost was understated by AED 50.2mn and total FY2026E operating expenses fell BELOW the audited FY2025 actual even as revenue rose 4.3% — impossible in a stack where every class escalates, and correctly identified by external audit as falsifying the margin-as-an-output claim	2026-08-17
capex_tang_share	0.866	Tangible share of capex: FY2025 audited 2,038.501 / 2,353.230	2026-02-09
dep_rate_ppe	0.1583	PP&E depreciation rate on OPENING gross-of-additions balance: FY2025 audited PP&E depreciation 1,557.989 / opening PP&E 9,838.448 = 15.83%	2026-02-09
amort_rate	0.289	Intangibles amortisation rate on opening balance: FY2025 amortisation 245.881 / opening intangibles 846.932 = 29.0% (short-lived software; the TDRA licence is fully amortised at NBV 0.869)	2026-02-09
roe_sust	0.27	Sustainable ROE 27%: audited ROE on average equity FY2023 18.5%, FY2024 26.0%, FY2025 29.0% - the step-up is the 2024 regime change (43.6% take vs 53.1%) plus operating leverage; 27% sits just below the FY2025 print and is consistent with the ~100% payout / 2.5% growth pair (implied retention 9%)	2026-08-09

House layer — 21 inputs

Input	Value	Source and construction	Date
anchor_days	219.0	31-Dec-2025 valuation date to the 07-Aug-2026 price anchor	2026-08-07
subs_mobile_path	9,450.0, 9,760.0, 10,010.0, 10,240.0, 10,450.0	House forecast, end-of-year mobile subscribers ('000): H2-2026 recovery of +170k from the Q2 trough (gross adds still below pre-conflict per the company's own Q2 commentary), then +310k/+250k/+230k/+210k as tourism and population inflows normalise — well below the +788k of boom-year 2025, above the flat conflict quarter	2026-08-09
subs_fixed_path	760.0, 790.0, 815.0, 838.0, 858.0	House forecast, end-of-year fixed subscribers ('000): +16k in H2-2026 then +30k/+25k/+23k/+20k — continued fibre/FWA share gain at a slowing rate; FY2025 added +53k	2026-08-09
arpu_mobile_path	63.4, 63.6, 63.8, 64, 64.2	House forecast, blended mobile ARPU AED/month: held essentially flat (+0.3%/yr) — postpaid mix gain (+9% y/y postpaid growth) offsetting prepaid dilution; company printed 63.3-63.4 across FY2025-Q2-2026	2026-08-09
arpu_fixed_path	537.0, 545.0, 553.0, 561.0, 569.0	House forecast, implied fixed revenue per subscriber AED/month (fixed segment revenue / average base — a blend of consumer broadband and enterprise fixed, so a revenue-intensity metric, not a tariff): H1-2026 actual 533; FY2025 515. +1.5%/yr on enterprise/ICT-adjacent mix	2026-08-09
seg_g	wholesale: -0.008, 0.015, 0.02, 0.02, 0.02; ict: 0.079, 0.11, 0.1, 0.09, 0.08	House forecast: wholesale –0.8% in 2026 (H1 actual –2.0% y/y on conflict-hit roaming/transit, partial H2 stabilisation) then +1.5-2%; ICT +7.9% in 2026 (H1 actual +4.8%, Q4-heavy seasonality) accelerating to +11% on the data-centre ramp (Microsoft hyperscale agreement, du Q4-2025 deck) then easing to +8%	2026-08-09
contrib_margin_path	mobile: 0.608, 0.608, 0.608, 0.608, 0.608; fixed: 0.858, 0.858, 0.858, 0.858, 0.858; wholesale: 0.864, 0.864, 0.864, 0.864, 0.864; ict: 0.194, 0.2, 0.205, 0.21, 0.215	Segment contribution margins: mobile/fixed/wholesale held at the audited FY2025 rates (60.8% / 85.8% / 86.4% — FY2024: 60.9% / 84.6% / 88.0%); ICT lifted 19.4% -> 21.5% over five years on data-centre scale (still the thinnest-margin segment)	2026-08-09

esc_staff	0.02	Staff-cost escalator 2.0%/yr — UAE wage inflation proxied by CPI (~2%) on a base the company is actively managing DOWN (H1-2026 staff cost –6.3% y/y, reviewed interims); applied from a rebased FY2026 level	2026-08-09
esc_network	0.03	Network & maintenance escalator 3.0%/yr — grows with network scale (sites, fibre, data centres), proxied by blended subscriber growth plus capacity additions	2026-08-09
esc_admin	0.02	Administrative escalator 2.0%/yr — general UAE cost inflation	2026-08-09
esc_other	0.02	Other operating expense escalator 2.0%/yr	2026-08-09
marketing_pct	0.018	Marketing at 1.80% of revenue (FY2025 actual 1.84%, H1-2026 1.44% — conflict-quarter restraint; forecast between the two)	2026-08-09
licence_pct	0.027	Telecom licence and related fees at 2.70% of revenue (FY2025 2.73%, H1-2026 2.65% — a regulatory revenue-share, so revenue-linked by its own nature)	2026-08-09
ecl_pct	0.0145	Expected-credit-loss charge at 1.45% of revenue (FY2025 1.33%, H1-2026 1.64% — conflict-quarter receivables stress; forecast between the two)	2026-08-09
other_inc_path	15	Other operating income held at AED 15mn/yr (FY2025 21.7, H1-2026 5.8 — lumpy, small)	2026-08-09
capex_pct	0.155, 0.15, 0.145, 0.135, 0.13	Capex (PP&E + intangibles, cash basis) / revenue: FY2025 actual 14.8% (2,353.230 / 15,905.421, audited CF); H1-2026 12.7% with the company stating a back-loaded, data-centre-heavy plan and commitments UP at 2,411.760 (30-Jun-26 note) vs 2,124.526 (FY2025) — 15.5% at the peak of the data-centre build, gliding to 13.0% (no numeric company capex guidance for FY2026 was published; flagged as a house path on sourced commitment evidence)	2026-08-09
rou_dep_path	355.0, 350.0, 345.0, 340.0, 335.0	Right-of-use depreciation: FY2025 actual 364.063, FY2024 374.505, FY2023 445.042 — a gently declining site-lease book; held on that glide. Lease REPLACEMENT capex is set equal to ROU depreciation in the FCFF build (the steady-state assumption; actual FY2025 lease additions were only 96.034, so this is the conservative side)	2026-08-09
lens_weights	dcf: 0.45; relative: 0.25; normalized: 0.2; book: 0.1	House synthesis weights, operating-company pattern (SWDY reference study)	2026-08-09
kd_term	0.049	Terminal marginal Kd: terminal AED sovereign 4.30% + 60bp telecom spread, rounded	2026-08-09
wd_term	0.05	Terminal debt weight 5%: the disclosed capital structure is leases-only (~3.4% of EV at spot) and the board's stated posture is an unleveraged balance sheet with an undrawn RCF; 5% allows the lease book plus modest working facilities in perpetuity	2026-08-09
rf_path	0.0448, 0.0444, 0.0439, 0.0435, 0.043	AED risk-free glide path FY2026->FY2030: linear from the 4.48% live anchor to the 4.30% terminal - the glide fractions for the forward WACC are THIS path's own cumulative progress (the cost-of-money path, since du carries no debt whose Kd could define the glide)	2026-08-09

Country layer — 10 inputs

Input	Value	Source and construction	Date
rf	0.0448	AED risk-free anchor: UAE federal AED T-bond, January-2031 tranche, auction yield 4.48% (July-2026 auction; cited to the MoF/WAM results release of 30-Jul-2026 rather than an inferred auction weekday, after review noted 22-Jul-2026 was a Wednesday and the published auction calendar runs on Tuesdays; +4bp over matched UST) - the longest LIQUID recent AED government primary print. There is no liquid 10-year AED point (longest AED primary ever is the Feb-2033 tranche at 4.13%, Apr-2026, now stale); the 10-year peg-extrapolated alternative (Abu Dhabi USD 10y 4.73% Feb-2026 less the ~4bp AED-through-USD basis ~ = 4.69%) is carried as rf_alt and PRICED in section 1.8 rather than averaged in	2026-07-30
g_term	0.025	Terminal nominal AED growth 2.5%: below the IMF's UAE long-run nominal GDP growth (~4%: real ~4% + CPI ~2% per WEO Apr-2026) and consistent with a mature duopoly telecom growing at population-plus-inflation minus price erosion	2026-08-09
rf_alt	0.0469	Peg-extrapolated 10-year AED proxy: Abu Dhabi sovereign USD 10-year 4.73% (Feb-2026 issue, UST+25bp) less ~4bp observed AED-through-USD basis at matched tenor. The priced alternative construction for the risk-free tenor gap	2026-08-06
sov_spread_rating	0.0004	PRIMARY BASIS (changed 17-Aug-2026): UAE sovereign default spread 4bp, MARKET-OBSERVED on the very instrument this model uses as its risk-free rate. The UAE MoF/WAM auction release states the January-2031 AED T-Bond priced at 4.48%, 'a spread of ... 4 basis points ... ABOVE comparable US Treasuries'. The	2026-07-30

		prior edition netted Damodaran's RATING-based 42bp instead, which drove rf* to 4.06% - roughly 26bp BELOW the matched-tenor US Treasury. A synthetic default-free dirham rate cannot sit below the default-free dollar rate under a hard peg, and that no-arbitrage test is now asserted in code. The rating basis (42bp with the 4.87% ERP, Ke 6.44%) is retained and published as the alternative construction per the both-bases rule; it is NOT averaged in. Note a floor applied to the rating basis was considered and REJECTED as incoherent: it would net a market spread while adding back a rating-based country premium, the exact same-basis violation the method exists to prevent	
erp_rating	0.0429	PRIMARY BASIS (changed 17-Aug-2026): UAE total equity risk premium 4.29% on the MARKET-spread basis = Damodaran's 4.23% mature-market base (Jan-2026) + a country risk premium of 6bp, scaled off the 4bp market default spread using Damodaran's own CRP/spread multiple (0.64/0.42 = 1.524). Paired with the 4bp netting above so the same basis is stripped as is added back. ALTERNATIVE PUBLISHED: the rating basis, 4.87% = 4.23% + 0.64% CRP (Aa2), paired with the 42bp netting -> Ke 6.44%. A third variant using the live implied US premium (4.28% + 0.06% = 4.34%) is disclosed for completeness. All three sit within 10bp of one another on Ke, which is what the same-basis rule is for	2026-08-01
sov_spread_mkt	0.0042	The RATING-basis default spread, now carried as the ALTERNATIVE construction (it was primary before 17-Aug-2026): Damodaran ctryprem (05-Jan-2026), UAE row, Moody's Aa2, rating-based adjusted default spread 0.42%, paired with the 4.87% rating ERP	2026-01-05
erp_mkt	0.0487	The RATING-basis total ERP, now the ALTERNATIVE: 4.87% = 4.23% mature + 0.64% CRP (Aa2), Damodaran 05-Jan-2026. Same-basis pair with the 0.42% rating spread	2026-01-05
rf_term	0.043	Terminal AED risk-free 4.30%: Fed long-run neutral ~3% (FOMC dots) implies a ~4.2-4.4% 10y UST through the term premium, and the AED curve prints at/through UST under the peg (Jan-31 tranche +4bp). Below the current 4.48% anchor - the glide is mild easing, not a heroic rate call. Markets currently price possible near-term HIKES (~4% policy by end-2026), which is why the glide is kept shallow	2026-08-09
erp_term	0.0429	Terminal ERP held at the primary market-basis UAE ERP 4.29% (no structural convergence assumed for an Aa2 sovereign already priced at 4bp over US Treasuries)	2026-08-01
ust_matched	0.0432	Matched-tenor US Treasury yield ~4.32% at the anchor (3y 4.25% / 5y 4.35% on 07-Aug-2026, treasury.gov, interpolated to the Jan-2031 tranche's ~4.4-year point). Used ONLY as the no-arbitrage floor test on rf*: under a hard peg a default-free AED rate may not sit below the default-free USD rate at matched tenor. Never used as the risk-free rate itself - the protocol requires the local government bond even for a pegged currency	2026-08-07

Industry layer — 3 inputs

Input	Value	Source and construction	Date
kd	0.051	MARGINAL cost of debt, AED, forward-looking: du has ZERO drawn debt and no bonds (audited Note 4.2, all years; H1-2026: AED 2.0bn RCF undrawn), so the marginal rate is constructed: AED sovereign anchor 4.48% (Jan-2031 tranche) + ~60bp A/AA-range GCC telecom spread read from the stc (Aa3/A+) USD sukuk curve (4.63%/4.92%/5.17% at 2.8/4.4/9.4y vs matched UST, 06-Aug-2026) = 5.10%. Sits ABOVE the sovereign as required. The 3.6% IFRS-16 lease-implied rate (FY2025 lease interest 71.094 / average lease book 1,968.8) is the historical incremental-borrowing rate on the lease stock, disclosed for the record, NOT the marginal Kd	2026-08-06
pe_just	12.9	Justified P/E 12.9x, RE-DERIVED FROM ISSUER FILINGS at the 06-Aug-2026 anchor after an external audit showed the prior 15.5x did not exist on any earnings base at that date. Mobily (Etihad Etisalat, Tadawul 7020) - the closest structural analogue, a #2 operator in a GCC duopoly-like market: TTM EPS SAR 4.76 (FY2025 4.51 + H1-2026 2.32 - H1-2025 2.07, each from Mobily's own Saudi Exchange issuer announcements) on a 06-Aug-2026 close of SAR 61.30 = 12.88x; the market-cap route (SAR 47,048mn / TTM net income SAR 3,650mn) independently ties at 12.89x. e& is the only other peer whose multiple derives end-to-end from issuer filings: 15.7x (TTM EPS AED 1.33 reported-attributable, close AED 20.98). NO PEER MEDIAN IS CLAIMED - only two of six peers survive as clean observations, so a median is not supportable: Zain's provider returned a corrupt 11365x and was refused, Omantel's provider P/E and yield are mutually contradictory, and Omantel holds ~21.9% of Zain so they are not independent. (For the record the 5-name median also lands on 12.89x, which is coincidence, not corroboration.) SUPERSEDES 15.5x, which was a January-2026 aggregator	2026-08-06

		read on FY2024 earnings mis-dated as an August-2026 read	
div_yield_peer	0.0489	Peer dividend-yield anchor 4.89% = Mobily's trailing yield at the 06-Aug-2026 close, derived from its own declared distributions - the same name and the same date as the justified P/E, so the two market anchors are consistent. SUPERSEDES 5.2% (stc, aggregator). The published Mobily yield of 2.9% in the prior edition matched neither the issuer data (4.89%) nor this study's own sweep record (3.7%) - a typed numeral that escaped the register, now corrected. Sourceable bracket at the anchor: e& 4.50%, stc 5.07%, Ooredoo 5.70%, Omantel ~6.7% (aggregator, internally inconsistent)	2026-08-06

The judgements, stated separately

Every forecast rests on judgements. Each is stated here with what would overturn it.

Judgement	Basis	What would overturn it
THE CENTRAL JUDGEMENT — what required return the business deserves. Framing 1 uses du's own measured beta; Framing 2 declines the terminal re-rating that implies and holds du's current trailing EV/EBITDA in perpetuity	the beta is du's own 5-year weekly regression, gate-passed; the market multiple is du's own audited figures at the anchor	Both are published side by side and never averaged. Either is overturned by the other being right: a sustained re-rating toward the implied exit multiple, or a beta that behaves like the sector's ~0.80 rather than the measured figure
The 2027-2029 fiscal regime is settled at the current take (base case rests on disclosed fact)	du's own disclosure of 24-Jul-2026 extending the 38% royalty + 9% corporate tax and retaining the AED 1.8bn combined floor	nothing — this is disclosed, not assumed. What IS assumed is the period after 2029, priced as a tail
Mobile recovers to 9,450k subscribers by end-2026, then adds ~210-310k/yr	the company's own Q2 commentary (recovery underway, gross adds below pre-war), Dubai population re-acceleration	a re-opened conflict, or two quarters of negative total net adds
Blended ARPU essentially flat	four quarters printed within 63.3-63.4; postpaid mix offsetting prepaid dilution; no price war in the record	ARPU below AED 60 without a disclosed mix explanation
Contribution margins hold at audited FY2025 rates (ICT lifts on scale)	two consistent disclosed years within ~1pp per segment	a disclosed margin reset — e.g. wholesale repricing or ICT mix collapse
Capex peaks at 15.5% of revenue then glides to 13%	commitments up ~14% in six months; the disclosed data-centre programme; no numeric company guidance (flagged)	company capex guidance above the path, or the programme extending past FY2028
Payout stays at 98%	FY2024 actual 98%, FY2025 ~100%, interim raised through the war quarter	any declared cut
Beta 0.472 from the own-index regression	five years weekly, R ² 0.20, gate passed, composite cross-check 0.394	a structural re-rating of DFM correlations; the 0.57-0.80 alternatives are priced
Terminal growth 2.5%	below long-run UAE nominal GDP (~4%+); duopoly at population-plus-inflation minus price erosion	sustained sub-2% revenue growth after the recovery completes
Lease replacement charged at right-of-use depreciation	conservative: actual FY2025 lease additions ran at a quarter of depreciation	a disclosed structural shift to leased infrastructure

Negative results — what could not be sourced

What was sought	Where	Outcome
UAE sovereign 5-year credit-default-swap quote	cbonds (403), worldgovernmentbonds (script-only), Damodaran (prints NA for UAE)	NOT SOURCED — the market-spread premium basis uses the traded Abu Dhabi USD curve (+25bp) instead, disclosed in section 1.8
Peer EV/EBITDA multiples, clean	public aggregators	net-debt figures missing or stale — the relative lens runs on P/E and dividend yield only, stated in 1.3
Concluded TDRA licence-renewal terms	TDRA site, du IR disclosure list, DFM	NOT FOUND at the sweep date — the licence

	announcements, press	note in the H1-2026 interims is the latest primary word; treated as catalyst 2
Post-2029 royalty/corporate-tax regime	du filings, e& filings, MoF releases, Cabinet decisions	NOT DISCLOSED by anyone — so a reversion after 2029 is carried as a priced tail, not forecast. NOTE: the FIRST EDITION of this study recorded the post-2026 regime as undisclosed by du. That was WRONG — du published its own "Extension of Federal Royalty Scheme for the Period 2027-2029" on 24-Jul-2026, sixteen days before the sweep date, retaining the AED 1.8bn floor. The negative search was stale, not the disclosure absent
Licence FEE / revenue-share terms on the renewed licence	TDRA announcement of 12-Aug-2026, du filings	NOT DISCLOSED — the 20-year renewal (effective 09-Aug-2026) publishes obligations only, no economics. The study holds the fee ratio at its historical level and flags that as an assumption
Peer EV/EBITDA from issuer filings	peer annual reports and results releases	net-debt detail per peer not retrieved within scope — the relative lens runs on earnings and dividend yield only, both sourced, rather than on an estimated multiple
Trailing P/E for Zain and a priced multiple for Omantel	aggregators and issuer filings	REFUSED rather than passed through: the provider returned 11,365x for Zain, and Omantel's quoted multiple and yield are mutually inconsistent. Neither enters the peer frame as a number
Wholesale and ICT unit KPIs (minutes, racks, MW, backlog)	AR2023-AR2025, all interims, all decks	never disclosed — both segments built top-down, flagged
Numeric FY2026 capex guidance	Feb/Apr/Jul-2026 releases and decks	not guided — house path anchored on disclosed commitments, flagged
Analyst consensus on du	public sources	not cleanly retrievable (searches polluted by the exchange's own ticker); noted, not used

Corrections made after external review

Four input errors were found by external audit and by re-audit, and are corrected in this edition rather than left standing. First, the justified price/earnings multiple: the first edition used 15.5x, described as a peer median. It was neither a median of the stated peer set nor a current figure — it was a January-2026 aggregator reading built on FY2024 earnings, published with an August-2026 date. Re-derived from the peers' own filings it is 12.9x, and no median is claimed because only two of six peers survive as clean observations. Second, the dividend roll: the first edition netted only the final dividend PAID before the anchor, on the reasoning that the interim was declared but unpaid. The correct test is the EX-date, which had passed six sessions earlier, so AED 0.66 is now netted, not 0.40. Third, the staff-cost input: its own source note said it applied the prior year's second-half seasonal ratio, but the figure used implied 1.09 against a true 1.196 — which pushed total forecast operating expenses BELOW the audited prior-year actual while revenue grew, and made the margin expansion an artefact of one input. Fourth, and most consequential for how this study reads: du had disclosed the 2027-2029 royalty extension itself, before the first edition's sweep date, so the "contested judgement" that edition was built around was not contested. It is recast here as the required return.

A note on source discrepancies

Three discrepancies a checking reader will find, all explained rather than smoothed: (1) FY2024 EBITDA is 6,469.8 in this study (the IFRS 18 re-presented comparative on the face of the FY2025 statements) but derives as 6,472.2 from the original FY2024 presentation — the re-presented basis is

used so FY2024 and FY2025 sit on one presentation. (2) FY2024 federal royalty is 1,571.6 on the re-presented face but 1,675.9 in the original FY2024 statements (which included prior-period adjustments); the re-presented figure is carried, and the FY2024 effective-rate note (44.7%) belongs to the original basis. (3) The company's IR capex (cost-additions basis, 2,274 for FY2025) differs from the cash-flow-statement capex (2,353.2) used in the model; the audited cash basis is used and the IR basis is quoted only where the IR intensity ratios are cited.

Disclosure

This bibliography is part of an educational analysis and is not investment advice. Sources are quoted for verification; all errors of transcription are the authors' own. © Testahil, 2026.